

to-date or year-to-date lows as the entry levels—and to risk recent reaction highs if filled. The beauty of this strategy is that if your trade entry point gets hit, you are selling the weakest markets first. They are showing that they are unable to rally in the current environment. Never sell the strongest markets until they fail.



An important lesson Ramsey provides is that even technically oriented traders—as Ramsey himself was in the early years of his career—can benefit greatly by incorporating a fundamental perspective. It is not a matter of performing any complex fundamental analysis to derive price projections, but rather a question of trying to understand the key fundamental drivers that are likely to determine the direction of the market. For example, by understanding that fundamentals were as negative as they could be for bonds at the start of 2000, Ramsey correctly assumed that bonds had very limited scope on the downside and that any weakening in the strong economy or the prevailing speculative fervor could set in motion a major bull market. As another example, Ramsey expected the end of QE2 to lead to a reversal from dollar weakness to dollar strength.

Once he has established a firm fundamental opinion, Ramsey utilizes technical analysis to confirm his anticipated scenario. Combining his technical methodology for entering and exiting trades with a strong fundamental directional bias provides Ramsey with a more effective trading approach than would be possible using technical analysis alone. The idea is to identify the big picture fundamental factors that are likely to drive the market in one direction and then to use technical analysis to trade in that direction.

Fundamentals can also be useful as a contrarian indicator. Ramsey will look for situations where there appears to be a predominant market perception that is being contradicted by the market action. Ramsey cites the example of a bond market where there was a lot of concern about government borrowing crowding out private borrowing, but interest rates failed to rise. In this context, a bearish fundamental factor had bullish price implications because of its failure to impact prices.